

Internal Report: Cardboard Caravan Service Expansion Launch

Date: September 1, 2025

Prepared For: Executive Leadership, All Department Heads

Prepared By: Product & Logistics Strategy Team

1.0 Executive Summary

The launch of Cardboard Caravan's new logistics service on September 1, 2025 marks a pivotal moment in our company's growth strategy. This expansion, featuring the rollout of in-person drop-off sites and enhanced international shipping capabilities, is projected to significantly increase market share and improve operational efficiency. Initial projections indicate a 15% increase in total package volume within the first fiscal quarter and a projected ROI of 25% within 18 months. The new service addresses key customer pain points—cost and convenience—and positions Cardboard Caravan as a leader in flexible, customer-centric logistics solutions.

2.0 Strategic Rationale & Launch Objectives

The primary drivers for this service expansion were a direct response to market analysis and customer feedback, which highlighted a demand for lower-cost shipping alternatives and greater convenience. The key objectives of the launch were to:

- **Acquire New Customers:** Attract cost-conscious consumers and small businesses through the highly competitive 30% drop-off discount.
- **Increase Package Volume:** Drive higher shipment volumes by removing logistical barriers for customers.
- **Expand Global Reach:** Open new revenue streams by tapping into previously underserved international markets.
- **Enhance Customer Loyalty:** Improve the overall customer experience through convenience and savings.

3.0 Operational Launch Highlights

The service was rolled out seamlessly on schedule on September 1, 2025, thanks to a robust, multi-phase operational plan.

3.1 In-Person Drop-Off Site Rollout

- **Phase 1 (Initial Rollout):** A total of 50 drop-off sites have been activated across key

metropolitan areas, including New York, Los Angeles, Chicago, Houston, and Miami. These sites are strategically located in high-traffic commercial zones to maximize accessibility.

- **Operational Model:** The drop-off locations are managed through a partnership with existing retail and business centers. Our new proprietary "Route-Optimizer" software dynamically schedules pickups based on package volume, minimizing transit time and fuel consumption.
- **Initial Performance Metrics:** As of day one, over 2,500 packages were processed through the new drop-off network. Initial customer feedback has been overwhelmingly positive, citing the ease and speed of the process.

3.2 Expanded International Shipping

- **New Destinations:** Our international network has been expanded to include direct shipping to 15 new countries, with a primary focus on emerging markets in Southeast Asia and South America.
- **Carrier Partnerships:** This expansion was made possible through new strategic partnerships with three major global carriers, enabling us to offer competitive rates and reliable transit times.
- **Customs & Compliance:** The new "Global-Clear" software module has been fully integrated into our platform, automating customs documentation and ensuring compliance, which is critical for reducing delays and improving customer trust.

4.0 Financial Projections & Analysis

The financial model for this expansion indicates a strong and rapid return on investment.

4.1 Initial Investment & Costs

- **Capital Expenditure (CAPEX):** A total of \$1.2 million was invested in this launch. This includes \$500k for the development of new software modules, \$400k for initial setup and a technology upgrade at key consolidation hubs, and \$300k for marketing and pre-launch activities.
- **Operating Expenses (OPEX):** A slight increase in initial operating costs is expected due to partnership fees and drop-off site maintenance, but this is projected to be offset by a significant increase in revenue.

4.2 Revenue Forecast & Cost Savings

- **Revenue Projection (Year 1):** We project an incremental revenue of \$5.5 million in the first year alone, with a conservative growth rate of 12% in the second year.
- **Cost Savings for Customers:** The 30% shipping fee reduction for packages dropped off at new locations is expected to be a primary driver of customer adoption. This discount structure is financially viable due to the reduced last-mile costs associated with the new

operational model.

- **Internal Cost Savings:** By aggregating packages at drop-off sites, we anticipate a 10% reduction in average fuel consumption per package and a 15% improvement in driver routing efficiency.

5.0 Key Performance Indicators (KPIs)

The following KPIs will be closely monitored in the coming weeks and months to gauge the success of the launch:

Metric	Target (Q1)	Target (Year 1)	Notes
New Customer Acquisition	10,000	45,000	Measured by first-time use of new services.
Drop-Off Volume	150,000 packages	800,000 packages	Volume specifically processed through new sites.
International Shipment Volume	5,000 shipments	25,000 shipments	Volume for new international destinations.
Average Revenue Per User (ARPU)	+7%	+15%	Reflects increased customer usage.
Customer Satisfaction Score	9.0/10	9.2/10	Measured via post-shipment surveys.

6.0 Conclusion & Next Steps

The service expansion has launched successfully, with strong early indicators of success. The new services directly align with our core mission to provide customer-focused, efficient, and affordable logistics solutions.

The next steps will focus on a phased expansion of the drop-off network to 100 locations by the end of Q1 2026 and the addition of 10 more international destinations. A comprehensive review of the Q1 data will be conducted in December to fine-tune our strategy and resource

allocation.